

Structure: US C-Corp + German DevCo

As of Aug 9, 2026 · Recommendation for advisor review · not a substitute for legal/tax advice

1 · Situation & Core Risks

Roles: Co-founder A (USA) forms and runs the Delaware C-Corp as CEO · Co-founder B (Germany) is CTO, technical only · development initially from Germany, later possibly Turkey · EU hosting.

Core risks: (a) place of effective management factually shifting to Germany → German corporate tax liability of the C-Corp (§ 10 AO) · (b) **false self-employment** in a freelancer setup (status audit, retroactive social-security back payments) · (c) **informal ownership side agreements** → hidden participation, transfer-pricing adjustments, due-diligence killer.

2 · Recommended Structure (a combination)

2.1 · Cap table: co-founder B appears **officially** in the formation documents — founder shares with vesting (4 yrs / 1-yr cliff), separate from any service relationship. No hiding: foreign ≥25% owners are reported anyway (**Form 5472**, \$25,000 penalty per missed filing). Personal tax (B, Germany): dividends/exit taxable, possible exit taxation → advisor item.

2.2 · Service delivery via a German DevCo (UG/GmbH) — two clean variants, **no informal hybrid**:

Variant	Ownership	Character
B1 · True subsidiary	C-Corp holds the GmbH shares	group structure, consolidated; transfer pricing between related parties
B2 · Founder's DevCo	Co-founder B holds the shares	independent service company with a written development agreement

Not recommended: a GmbH that is formally independent but economically attributed to the C-Corp via trust/side-letter arrangements ("unofficial subsidiary") — hidden participation, tax and liability risks. **Layered is fine; concealed is not.**

2.3 · Development agreement (DevCo ↔ C-Corp): **cost-plus** remuneration (~5–10% markup = transfer-pricing standard for contract development), monthly invoicing · VAT: B2B services to a US customer are not taxable in Germany, input-VAT deduction preserved · **IP assignment:** all code transfers to the C-Corp (incl. pre-existing IP at formation) — without a complete IP chain the C-Corp is worthless in any DD · scope wording: technical execution, **no management authority**.

2.4 · Evidence of US management: board resolutions, signatures, strategic decisions documented with co-founder A. **Titles don't protect — lived, documented practice determines** the place of effective management.

2.5 · Turkey / another country later: repeat the pattern (local DevCo, identical agreements) — deliberately portable.

3 • Why Not the Alternatives?

Freelancing directly for the C-Corp: one client + full integration = textbook **false self-employment**; the GmbH layer is the established mitigation.

Employment by the C-Corp: German employer registration (wage tax / social security) for the US corp + increased permanent-establishment risk.

4 • Privacy Note (EU Hosting)

EU hosting is right for GDPR practice and latency — but it is **no shield against US government access**: as long as the C-Corp is the data controller, the **CLOUD Act** applies regardless of server location. Do not advertise "data is safe from the US" (misleading, actionable under German competition law). To fully play the privacy card, place data controllership in the EU entity (B1, GmbH as controller) → advisor topic.

5 • Advisor Checklist

#	Item	Goal
1	Place of effective management: is the role/process documentation sufficient?	written assessment
2	Variant B1 (subsidiary) vs. B2 (founder DevCo)	decision
3	Development agreement: cost-plus rate, IP clauses, scope wording	contract draft
4	Form 5472 · Delaware franchise tax · federal filings	compliance calendar
5	Compensation of co-founder B (managing-director salary vs. distributions)	structuring
6	B's shares: German taxation, vesting, possible exit taxation	structuring
7	Data controllership C-Corp vs. EU entity (CLOUD Act / GDPR)	decision
8	Imprint/legal pages reflecting the responsible entity · RDG sign-off for the risk map	implementation